



Alive and K1cking Lda

An eSports Approach

A project in the electronic sports world

Research Department
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Introduction

Why invest in eSports?

“No other entertainment industry has posted the sustained growth over the last decade generated by the video game sector, and given the technological and creative advances ahead, all signs point to surging growth and more record sales for many years to come.”

Douglas Lowenstein, President
Entertainment Software Association



If people look at the eSports phenomenon by the industry point of view, it's a magnificent opportunity for investors willing to expand their investments and multiply their money, as many statistics, enquiries, studies from solid companies and infographics show, all across the internet.

But this only works because if people look at eSports by the hardcore and casual gamers' point of view, everyone will see an amazing number of individuals from rather different ages, willing to absorb every piece of information and advice on how to improve their gaming skills. And pay for it, of course.

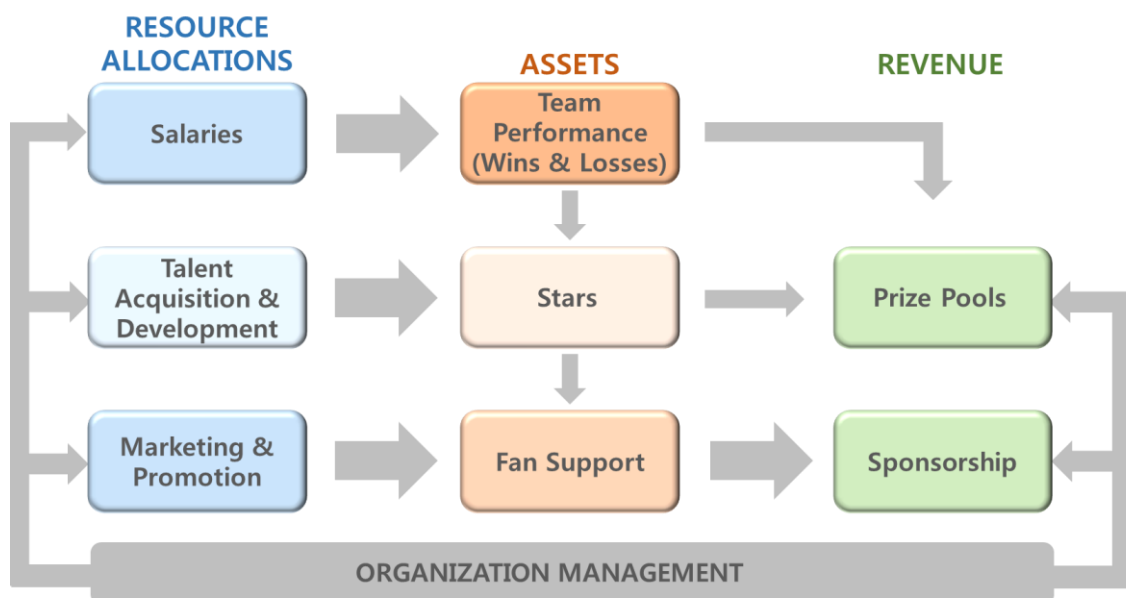
Besides being a lot of different things, nowadays electronic sports are at the same time an investment opportunity and a vehicle to expose or publicize some product or service that someone wants to massively reach the market.

Investment

When it comes to clubs and looking at the phenomenon exclusively from an investor's point of view, some of the most important facts that every person thinking on putting money in eSports will want to know is the amount of the investment, how to get it back (at least doubled or tripled), the timeline for that to happen and the risk involved.

Starting with the amount involved in order to support an eSports club or organization, it obviously depends on the quality level that people want to reach, plus the current state of things. If we are talking about a previously built organization with board members and staff that have proven themselves throughout the years, apparently everything must already be in place and should only be a question of finding out what kind of investment is needed to add up to the current budget so that the organization can step up and operate on a different level, but many times spending more money doesn't necessarily mean that you will take it up one notch and history has sometimes proven quite the opposite, being the reason that takes organizations into a hard to control downfall.

In fact, more important than having that extra money is *knowing what you will be doing with it* and why having it will make you get bigger and produce richness. Analyzing how an eSports organization reaches success, we obviously have to look at the teams and players that compose it, but also to the people behind the scene that are a part of the structure that makes it all happen on a wider range, so the players only have to worry about what they do best, that is, playing a videogame.

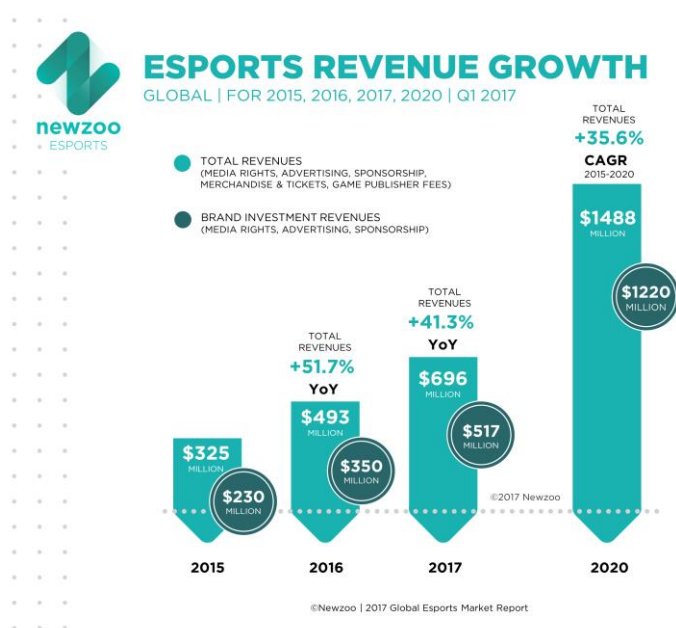


Building a structure and specially a team is a complex process that many times fails due to a long list of reasons that prevents a circle of people from getting the best of each individual for the sake of the whole group. Even when organizations hire “certified stars”, they have to ask themselves if *all the stars are aligned* and rowing towards the same objective, so the staff and whoever is responsible from choosing the right players have a huge responsibility on their shoulders, and should have the necessary experience in doing so in order to avoid mistakes that will produce an easy to predict disbandment after the team failure in obtaining their goals.

That’s one of the reasons that many investors prefer to invest on an already well established organization instead of building it from scratch and go through a process of trial and error that takes a lot of resources and time that many times people don’t have, lowering the chance of reaching the objective and the rate success/investment.

That said and moving to the risks involved in putting money in eSports organizations and how the investment can be profitable, the obvious answer is by making a deal on a partial sale later on, or even by selling the whole participation. The way eSports have exponentially evolved in the last years and the kind of money that is being invested shows us that the value of an eSports stable organization has been also exponentially increasing year after year, almost quarter after quarter, lowering the risks of a significant investment and rising the chances of making a rather profitable deal on a future sale.

Even if the organization reaches some interesting profit each year, a sum that investors can take back in order to lower their exposure and invested money in a short timeline, it is advisable not to do so because reinvesting it will probably generate better conditions to operate and as the market is exponentially growing each year, that extra money can double or triple the organizations profit in the following year, snowballing it to a quite significant level.

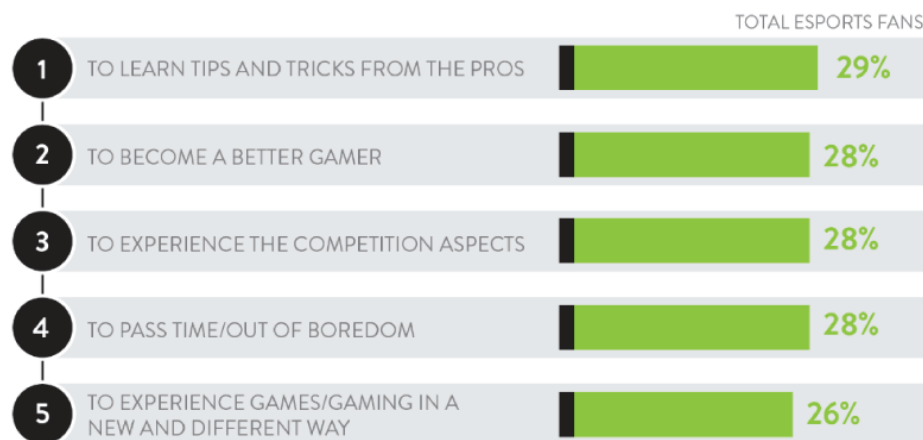


Exposure

The relationship between eSports followers and digital goods or online services is quite interesting for the marketers as this extensive group of people is many times the audience that some product wants to reach. So rather than making a direct profit out of investing in eSports, investors can do it by using the organizations, teams and players as a vehicle to promote their goods and do them some sort of validation, growing their sales and gaining loyal clients that will keep on absorbing whatever marketers want to promote.

This is the basics of sponsorship but with a rather significant difference as many times due to different offers, organizations change their sponsors after ending a contract even if the current sponsor is willing to renew the collaboration for an extended period. Investing in an eSports organization, owning the biggest share of the company behind it, prevents that from happening as the decision of changing some product or promoting some brand will always be taken by the investor himself.

TOP REASONS FOR ESPORTS ENGAGEMENT



Source: Nielsen eSports Report.

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Capturing the attention of this kind of audience is many times worth the investment of acquiring an eSports structure, especially if the investor has the intention of keeping on developing content, products or services that will be appealing to the eSports followers, maximizing the profit and making the perspective of a future organization sale simply for profit being not appealing.

Online Presence

Although the Millennials, or members of Generation Y, are here to stay and most likely are the biggest group of individuals that eagerly follow electronic sports in its several ways of producing content, one cannot put aside all the other generations that have contributed to this state of things, having a larger financial sustainability and being able to buy goods with no hesitations, especially if they are appealing to them somehow.

So for starters, having a good and dynamic website is quite important for an eSports organization as this is the place that the followers, fans and general public can attend in order to find out more about the teams, players and general activity. In order to promote the website and perhaps the goods one is selling there or the campaigns exposing the sponsors and partners, social networking is of the highest importance.



In fact, the many “likes” and “follows” obtained in the many social networks can be redirected to a website with well-placed posts, giveaways, contests, ads and campaigns that will attract the visitors into their final destination, many times a landing page that is quite important for some online strategy. If one can provide all the content that people need in just one place, being able to guide the avid consumers there, the likelihood of them returning and helping in spreading that particular website into the community, thus generating new visitors, is in fact quite high.

There are some examples in the eSports community where some organizations have a large share of their revenue by selling exclusive content and goods on their own website.

eSports Revenue Model

As the business of electronic sports exponentially grows, so does all the other sort of activities that are directly or indirectly related to it, for the money involved has reached a level that can easily draw the attention of big companies willing to invest in the phenomenon. And there is nothing wrong with that at the moment, while dozens of brands and companies are trying to find a way into this new world. However the model of revenue that many teams and organizations are implementing and is essential for their survival, heavily relies on finding the right sponsors, and even if you can't get what you want, at least many times, you get what you need.



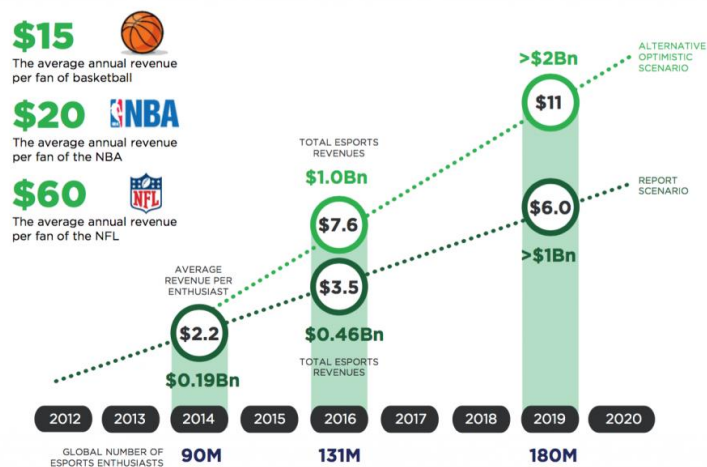
On a rude estimate, many organizations revenue is 90 to 95% dependent on sponsors which means that a top notch team or organization can easily go all the way down if their performance diminishes, causing a possible and natural lack of interest from their supporters, or somehow losing the trust of their sponsors, whether by an unreflective attitude or simply because they changed their minds.

If we look at traditional sports, clubs have physical structures that can earn them money (also expenses but usually the benefits are much higher than the disadvantages), plus broadcasting rights that are essential to their survival. If one would take away the football stadiums and the revenues generated by the tickets sold in each game, plus the broadcasting rights, not many clubs would survive and surely there would be a great reduction in their budgets. So how will eSports survive in the future, only relying on Sponsors, when sponsors become less interested in supporting them?

The answer is simple for if you can't live with a specific situation, all you have to do is find valid alternatives, so one should put in motion ways of reducing the percentage related to being so sponsor dependent. In the end, it must be the fans that have to support the operation costs as they do in the sports business and it's up to the eSports agents to create that tendency and quickly converge to it. A few years ago we have come to this conclusion in K1ck eSports, so we have tried to create revenue models other than just placing our future and survival in the sponsors' hands.

AVERAGE REVENUE PER ESPORTS FAN GROWS

ESPORTS REVENUE PER ENTHUSIAST | 2012-2020 | GLOBAL



Comparing esports and traditional sports makes sense to a certain extent. As the Esports Economy matures, draws more advertisers and increases its merchandise and ticketing revenues directly from consumers, the average annual revenue per fan will continue to rise toward that of traditional sports.

This coming year, we anticipate \$3.5 per esports fan, still almost five times lower than that of basketball (\$15 per year) but up from \$2.2 in 2014. Using a conservative scenario, we estimate the annual average revenue per esports fan will reach around \$6.0 by 2019.

Looking at K1ck's budget and operational results in 2016 and part of 2017, we find two important items in the list that have a significant contribution to the final result:

- The prizes earned in eSports events
- The players' rights transferred to other organizations

Together, these two items roughly reach 35% of our revenue in 2016 and so far 20% in 2017, although it's always near the end of the year that many of the biggest events take place. But these different ways of getting more income have opposite effects and are in fact almost exclusive: if you sell your best players, the probability of winning events will be reduced, unless you have a good structure to hunt down good talents in order to effectively replace the players that are being transferred.

So should we sell and take the risk of losing more often if we are not able to produce talent? In my opinion and at first sight, one should never send talent away but that answer is never simple because sometimes you just have no way of keeping some player happy and we always have to weigh the effect that selling will produce on our budget vs how competitive we will be after replacing the players.

But the model is valid and is widely used in sports (i.e. Portuguese clubs FC Porto and Benfica profit models), especially in organizations that can't keep up with the values that are at stake when richer organizations, capable of making large offers to the players, come into the picture. So in order for the model to be effective, you must have some skills and put in motion some actions that will provide results when they are needed:

- Create academies or training centers that can track, teach and produce good players with the right mindset for competitive eSports.
- Have well trained staff with the ability to recognize talent and keep it alive.
- Be well connected around the world in the gaming community so you can be the first to hear about some particular player that will soon become a star.
- Have a solid reputation in the gaming community and a quality brand that can easily attract players.

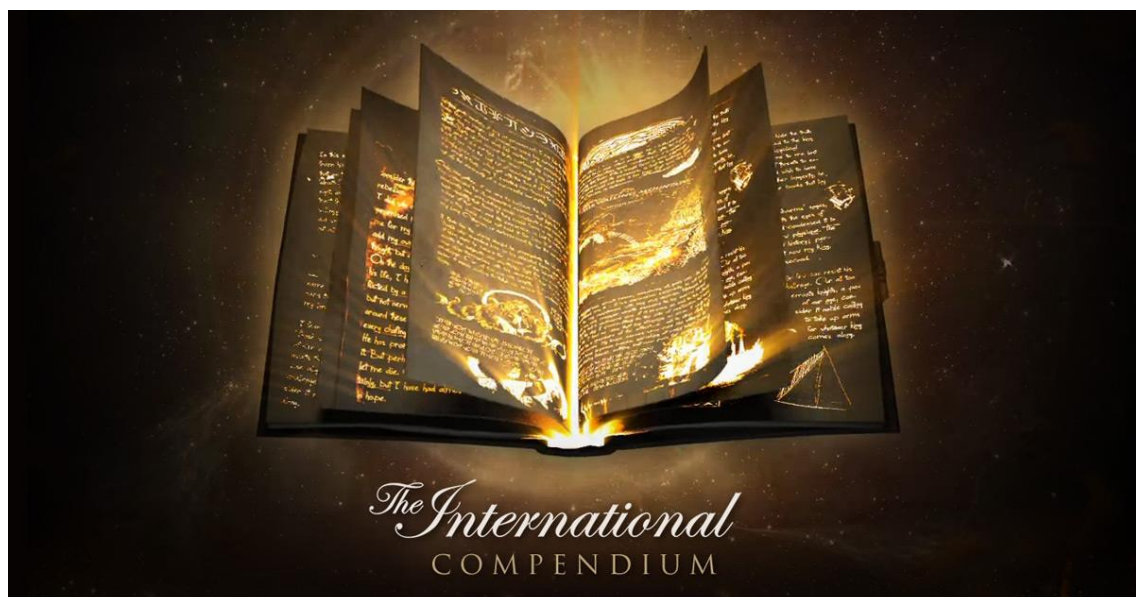
Another important item that in K1ck's case is way below the numbers that we should have, is the merchandising revenue and royalties from branded computer hardware and gaming peripherals. Merchandising can be really important in an eSports organization, not only for the income that generates but also as a means to an end, increasing the players and team exposure plus increasing the fan base numbers that will most likely support you and live around you, thus raising all the numbers and revenues that you have. As an example, our K1ck-Ozone mousepad that went on sale a few years ago in several stores around the world including Amazon (designed with the contribution of K1ck players), was quite successful and a K1ck ambassador in the gaming communities.



Finally and taking as an example what happened in the golf world where the most successful players created an association that soon after pushed all the other event organizers to a side, becoming the “only” league and negotiating directly with the sponsors and investors, it is possible that eSports organizations can negotiate with local leagues on a national level in order to receive some compensation (a part of the broadcasting rights for instance) for the participation and support to the league, making their contribution to its success. As an alternative, the clubs can create their own leagues and negotiate directly with the sponsors, emptying any league that they want.

So if we add this all up and throw some more possibilities into the discussion that may be a way to generate revenue to the eSports organizations in the future, one can live with not being so sponsor dependent, as long as the necessary actions are implemented in the right timing, that is, now. As further food for thought, here are some possibilities that may be an important part of an eSports organization budget, some in a rather near future and some possibly not in the next couple of years:

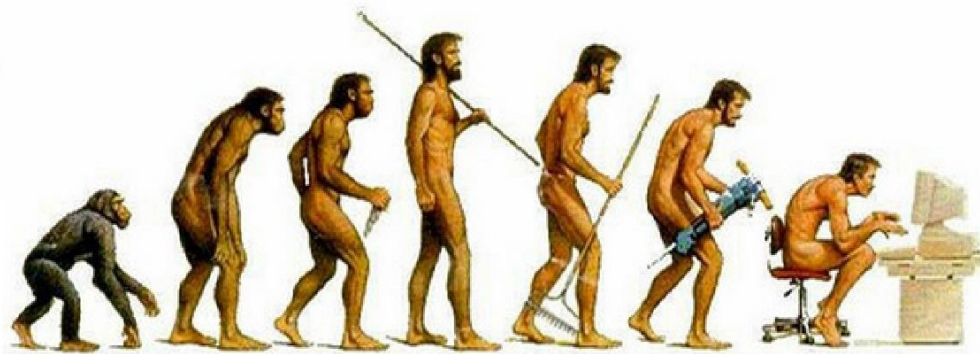
- Mini touch and go events featuring and “renting” the players
- Club members paying supporters’ fees
- Broadcasting rights
- Organizations small stadiums/venues ticketing
- Museum ticketing
- Online goods sales, namely apps and mobile games
- Expert Services rental such as legal, financial, representative, IT and online presence (for players and general public)
- Digital goods sales



Adapting to changes

Introduction

Taking Darwin words when he presented his theory of evolution by natural selection, first formulated in his book "On the Origin of Species", *"It is not the strongest of the species that survives, nor the most intelligent that survives. It is the one that is most adaptable to change"*, we do believe that many eSports teams will not survive for a long period in time due to the fact that it is always easier to stagnate and believe that nothing will change, burying one's head in the sand, than to take the necessary steps to adapt to the inevitable changes in eSports that will occur in a near future.



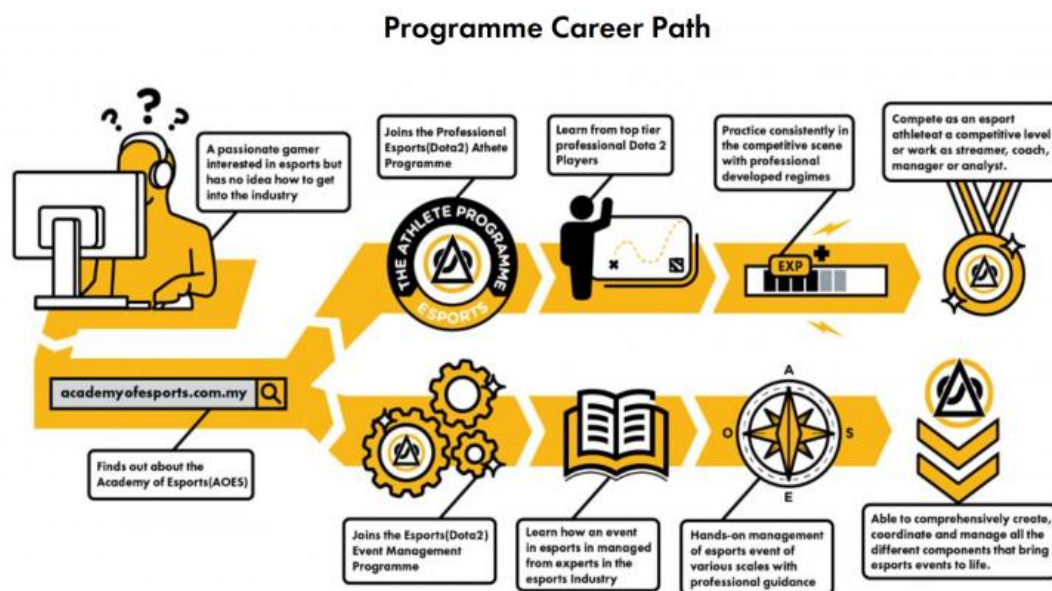
If smaller organizations want to have a chance to keep on doing what they are doing, even grow to something bigger, they have to create structures that can provide them with the means to live another day, when the stronger and richer opponents somehow cross their path or get in their way. The shortest way to do so is obviously receiving some huge investment that automatically promotes them to the top notch level, but let's face it, that seldom happens.

So going back to the eSports revenue models, creating talent can earn you some instant money with the fees you may charge to the gamers willing to improve their game, but most important, it can provide you the necessary tools that you need to keep that budget high with that extra money you can obtain from making players' rights transfers. And in order to create and nourish that talent, one needs to invest in structures and services that will please and attract your "customers", i.e. the young gamers willing to make something out of eSports.

Academy and Training Center

The difference that I would like to introduce between an Academy and a Training Center is that although they both work with students willing to learn more about eSports and improve their gaming skills by paying a fee, an Academy can work online and eventually offline while a Training Center works exclusively offline in some pre-determined locations, demanding a much higher investment, especially in the required structure.

The main goal in creating Academies and Training Centers, besides the financial aspect, is to build talent and produce players that embody one's values and act accordingly to the principles that run an organization, becoming healthier persons and appreciated players in the community.



(Dota2 example)

Putting an academy at work, producing talent and being self-sufficient is not an easy task, as we are talking about integrating individuals in teams, making them work together and evolve as a group, avoiding and solving expected conflicts. But the possibility of learning from reputed players and well trained teachers that can unlock the best qualities that a gamer has, besides being in contact and integrating a professional eSports organization environment is quite appealing for the ordinary gamer.

Apart from the investment aspect, running a Training Center and obtaining results is a simpler process as the trainees have to show up on some location, which makes the whole learning process much easier. Having the whole class in front of a teacher allows him to better understand the students' needs and goals, know their talent and progress, making the whole recognizing and producing talent process much more effective.

Gaming House

As it is happening with several electronic sports organizations from all around the world, creating its own Gaming House closely working together with other sections that operate inside the structure, is an effective way to improve several aspects that are important to any eSports organization. In fact, being capable of concentrating many activities in one place, whether it's displaying static publicity, making product reviews, streaming non-stop sessions or producing videos around some theme, will provide a more efficient sponsor value to the partners.

Along with the goal of obtaining better and more professional teams, having a space where the players, staff and members from the Academy and Training Centers can mingle, opens several possibilities that one can explore, including the creation of a Museum, presenting to the public the many trophies and medals conquered throughout the years, plus offering rewards to the followers and supporters such as a day spent at the Gaming House in the company of their gaming idols.



Par excellence a place where the players can get together and practice continuously as a team, improving their individual skills and team play no matter where they are from, the Gaming House will also provide them an experience that can only be acquired in LAN (Local Area Network) events.

Regarding the media component, one can create a mini studio at the Gaming House, having the possibility of doing many more interactions, as the players will be coexisting in the same space, namely talk-shows and interviews right after the end of a game. Practicing in good conditions and good environment will also let the players do constant streamings, individually and as a group.

Conclusions



- At the moment eSports is a phenomenon that exponentially grows every year, involving major companies and capturing the attention of well-known investors and the millennials at the same time.
- No one is actually foreseeing the eSports downfall in a near future, quite the opposite.
- Having an eSports team can be a very good investment for the future and/or significantly increase the exposure of your products.
- Acquiring an existing eSports organization with a structure that has been around for many years and has a reputed name in the global community is much easier, more efficient and by far cheaper than building your own organization from scratch.
- All online content has increased value if the consumers can find it bundled in one place.
- The eSports organizations have to find different revenue models, not being so sponsor dependent.
- Adapting to changes is quite important and creating Academies and Trainings Centers could be the right step towards the future.
- Gaming Houses provide a means for improvement in several aspects, especially when it comes to players and teams, but also in sponsorship value.
- K1ck eSports Club is a well-known and reputed organization with over 19 years and 500 conquered tournaments, maintaining its main core throughout the years.